Results of Data Analysis

Key Finding

The analysis identified a concentration of potential exceptions involving five candidate related parties. Twenty-seven transactions were flagged by the transaction-timing screen, with recorded revenue totalling ₹12.18 crore. All 27 transactions were associated with the candidate related parties and remained outstanding as at 15th April 2022.

Separately, 42 transactions were recorded between the range of ₹40 lakhs and ₹50 lakhs, of which 27 also triggered the timing screen. The concentration of customer, timing, approval-threshold and receivables indicators warrants further investigation of the underlying service arrangements, customer relationships and approval evidence.

These results are red flags arising from a synthetic dataset, not findings of established fraud.

The next stage should corroborate whether the services were delivered, whether the approvals complied with the company's authority matrix, and whether the receivables were subsequently settled or adjusted.

Detailed findings of each planned procedures

1- Test of Duplication
   No major duplicate invoices detected.

2- Test for Creator and Approver levels
   No significant overrides detected in approval.

3- Transaction time-screening – Unusual transactions testing
   Time series concludes certain abnormal transaction outside the business hours/days. There are considered to be potential red flags and are needed to be further investigated onto their reasons. (Refer Annexure 1)

4- Trend Analysis YoY and month-wise results
   Month-on-month analysis identified multiple periods of substantial fluctuation across the two-year period. Revenue changed by 40% or more in 15 month-on-month comparisons, while the number of transactions changed by 40% or more in eight

comparisons. These periods were flagged for further review to assess the reasons for the fluctuations and their relationship with other identified exceptions.
(Refer Annexure 2.)

5- Pre-IPO Revenue-Window and Near-Threshold Analysis

The chart results have shown a significant number of clustering between Apr 2021 to Feb 2022 periods around the values of 40 Lakhs to 50 Lakhs. This is also an observation which to be further investigated. (Refer Annexure 3)

6- Customer Concentration Analysis and RP Analysis

While analysing results of customer concentration, the average value of revenue per related party is found to be ₹268.59 Lakhs, whereas the other non-related parties average only comes to ₹78.76 Lakhs for the two years in total. Further analysis also tells that the only 6.12% revenue was from related parties in FY 20-21 but in FY 21-22 the same has jumped to 38.70% of total revenues.

This clearly indicates a significant increase concentration of revenue from related parties in FY 21-22 and also warrants for further deep investigation on these transactions. (Refer Annexure 4)

7- Contract Tracker Analysis

No significant observations.

8- Outstanding Receivables analysis (as on 15-04-2022)

Nearly every red flag entry from the transaction time-screen test is identified to be receivable. Most importantly, all of those which are outstanding and previously tagged as red flag are identified to be related parties.

Their invoice values are also observed to be near threshold limits as observed in test 5. This is warrants a detailed investigation on the nature and timing of those related party transactions. (Refer Annexure 5)

9- ESOP related persons screening

The red flags observed from related parties where approved by the senior management officials who are entitled to ESOPs. This might indicate a potential conflict-of-interest and requires a further investigation in this regard. (Refer Annexure 6)